Government spending

Governments today spend a large part of what an economy produces, using money from taxes to prioritize their political commitments and potentially boost their country's economy.

How it works

Modern governments usually pay for a range of services that might typically include education, healthcare, pensions, and welfare payments. The electorate may also expect them to invest in roads, airports, water, electricity and gas supply, and other infrastructure.

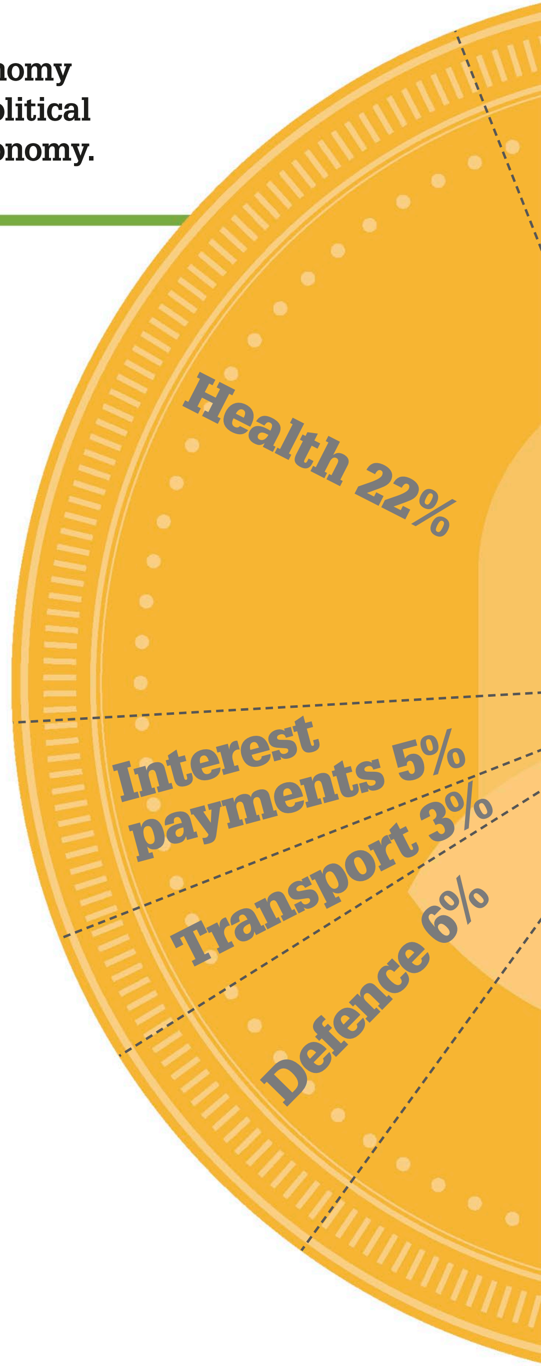
However, governments cannot simply spend whatever they want. Healthy tax revenues depend on a thriving national economy. Most governments attempt to prioritize their spending depending on their political commitments, setting an annual budget to allocate spending from taxes they expect to receive.

SPENDING VS CUTS

Government spending can directly support the economy, such as expenditure on transport and communications. Scientific research is often funded by government, and spending on education helps to train workers. Some governments also subsidise and support key national industries. However, many governments since the 2008 financial crash have tried to cut their spending to reduce their deficits (*see pp.146–147*). These decisions are controversial, as the long-term effects on the economy are still unknown.

Typical government spending

How a government spends money depends on its political priorities, the size of the government relative to the economy, and its level of debt. For instance, Scandinavian countries famously prioritize high welfare spending. Government spending can also boost the economy. By raising spending on infrastructure, governments can help to sustain economic activity. Funding scientific research aids product invention, feeding into economic growth, while spending on education can provide the training to make a workforce more productive.



> **"Never spend your money before you have it"**
>
> Thomas Jefferson, former US president